

- What the growth rate in earnings has been in recent years. (My favorites are the ones in the 20 to 25 percent range. I'm wary of companies that seem to be growing faster than 25 percent. Those 50 percenters usually are found in hot industries, and you know what that means.)
- That the company has duplicated its successes in more than one city or town, to prove that expansion will work.
- That the company still has room to grow. When I first visited Pic 'N' Save, they were established in southern California and were just beginning to talk about expanding into northern California. There were forty-nine other states to go. Sears, on the other hand, is everywhere.
- Whether the stock is selling at a p/e ratio at or near the growth rate.
- Whether the expansion is speeding up (three new motels last year and five new motels this year) or slowing down (five last year and three this year). For stocks of companies such as Sensormatic Electronics, whose sales are primarily "one-shot" deals—as opposed to razor blades, which customers have to keep on buying—a slowdown in growth can be devastating. Sensormatic's growth rate was spectacular in the late seventies and early eighties, but to increase earnings they had to sell more new systems each year than they had sold the year before. The revenue from the basic electronic surveillance system (the one-time purchase) far overshadowed whatever they got from selling those little white tags to their established customers. So, in 1983, when the rate of growth slowed, earnings didn't just slow, they dived. And so did the stock, from \$42 to \$6 in twelve months.
- That few institutions own the stock and only a handful of analysts have ever heard of it. With fast growers on the rise this is a big plus.

TURNAROUNDS

- Most important, can the company survive a raid by its creditors? How much cash does the company have? How much debt? (Apple Computer had \$200 million in cash and no debt at the time of its crisis, so once again you knew it wasn't going out of business.)

What is the debt structure, and how long can it operate in the red while working out its problems without going bankrupt? (International Harvester—now Navistar—was a potential turnaround that has disappointed investors, because the company printed and sold millions of new shares to raise capital. This dilution resulted in the company's having turned around, but not the stock.)

- If it's bankrupt already, then what's left for the shareholders?
- How is the company supposed to be turning around? Has it rid itself of